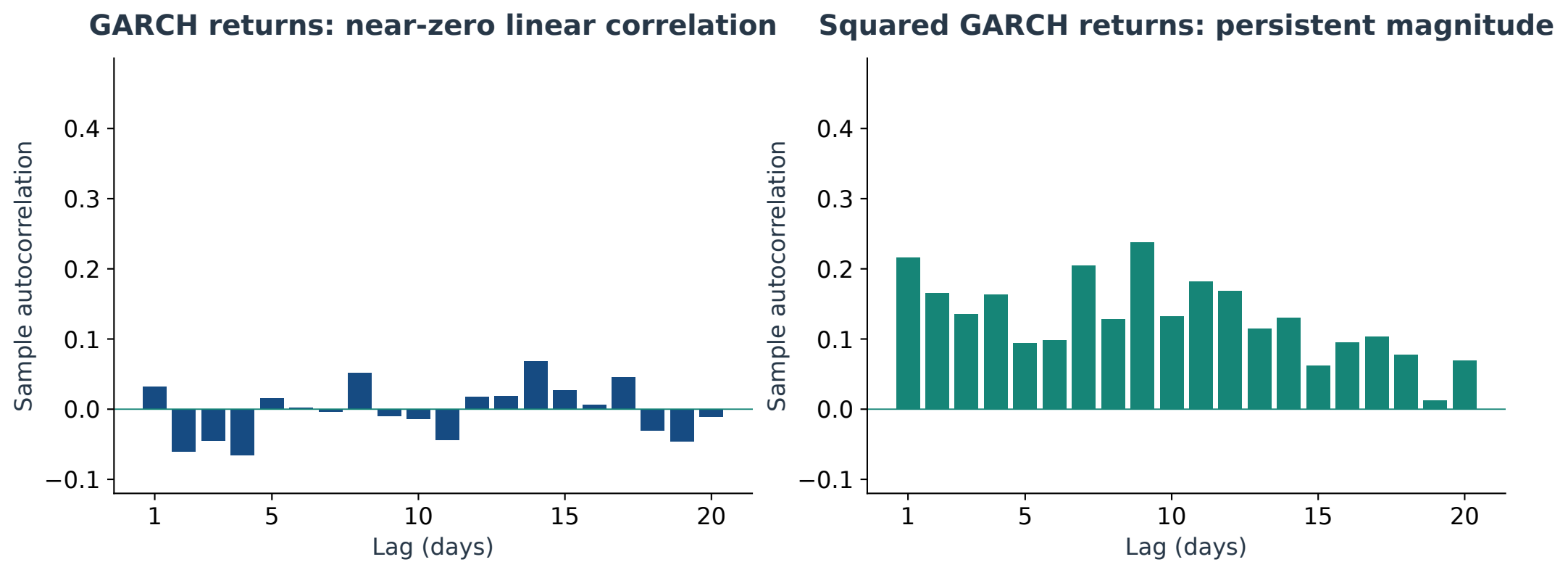
GARCH returns: near-zero linear correlation
Squared GARCH returns: persistent magnitude
Sample autocorrelation
0.4
0.3
0.2
0.1
0.0
−0.1
1
5
10
15
20
Lag (days)